

would quickly be marshaled to take advantage of the bargain. Corporate gold dollars are now available in quantity at 50 cents and less—but they do have strings attached. Although they belong to the stockholder, he doesn't control them. He may have to sit back and watch them dwindle and disappear as operating losses take their toll. For that reason the public refuses to accept even the cash holdings of corporations at their face value.

He allowed, however, that stocks trading at a discount to liquidation value did so because they “almost always have an unsatisfactory trend of earnings:”¹⁰

If the profits had been increasing steadily it is obvious that the shares would not sell at so low a price. The objection to buying these issues lies in the probability, or at least the possibility, that earnings will decline or losses continue, and that the resources will be dissipated and the intrinsic value ultimately become less than the price paid.

Graham responded to these objections that, while these outcomes occurred in individual cases, there was a much wider range of potential developments that would result in a higher stock price. Graham's list of developments reads like a modern activist investor's list of demands, and it included the following:¹¹

1. *The creation of an earning power commensurate with the company's assets. This may result from:*
 - a. *General improvement in the industry.*
 - b. *Favorable change in the company's operating policies, with or without a change in management. These changes include more efficient methods, new products, abandonment of unprofitable lines, etc.*
2. *A sale or merger, because some other concern is able to utilize the resources to better advantage and hence can pay at least liquidating value for the assets.*
3. *Complete or partial liquidation.*

Graham proposed that the discerning analyst would lean toward those stocks for which she saw a fairly imminent prospect of one of these favorable developments emerging, or else she would look for other attractive statistical features like current earnings and dividends or a high average earning power in the past. The analyst would avoid issues that were rapidly dissipating their current assets and showed no definite signs of ceasing to do so. Even so, he wrote, there was “scarcely any doubt that common stocks selling well below liquidating value represent on the whole a class of under-valued securities.”¹²